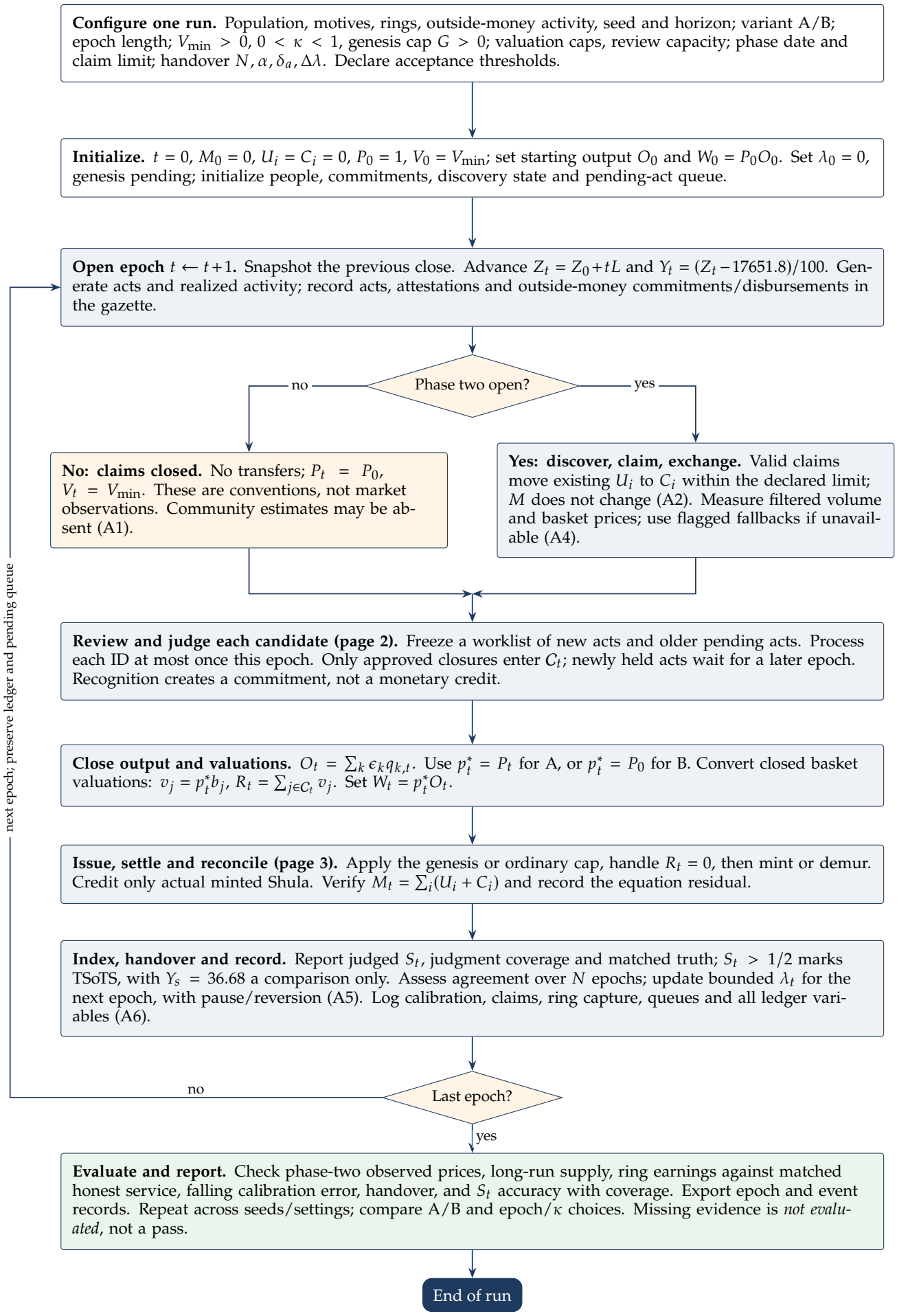
Simulation of the Shula: corrected flow

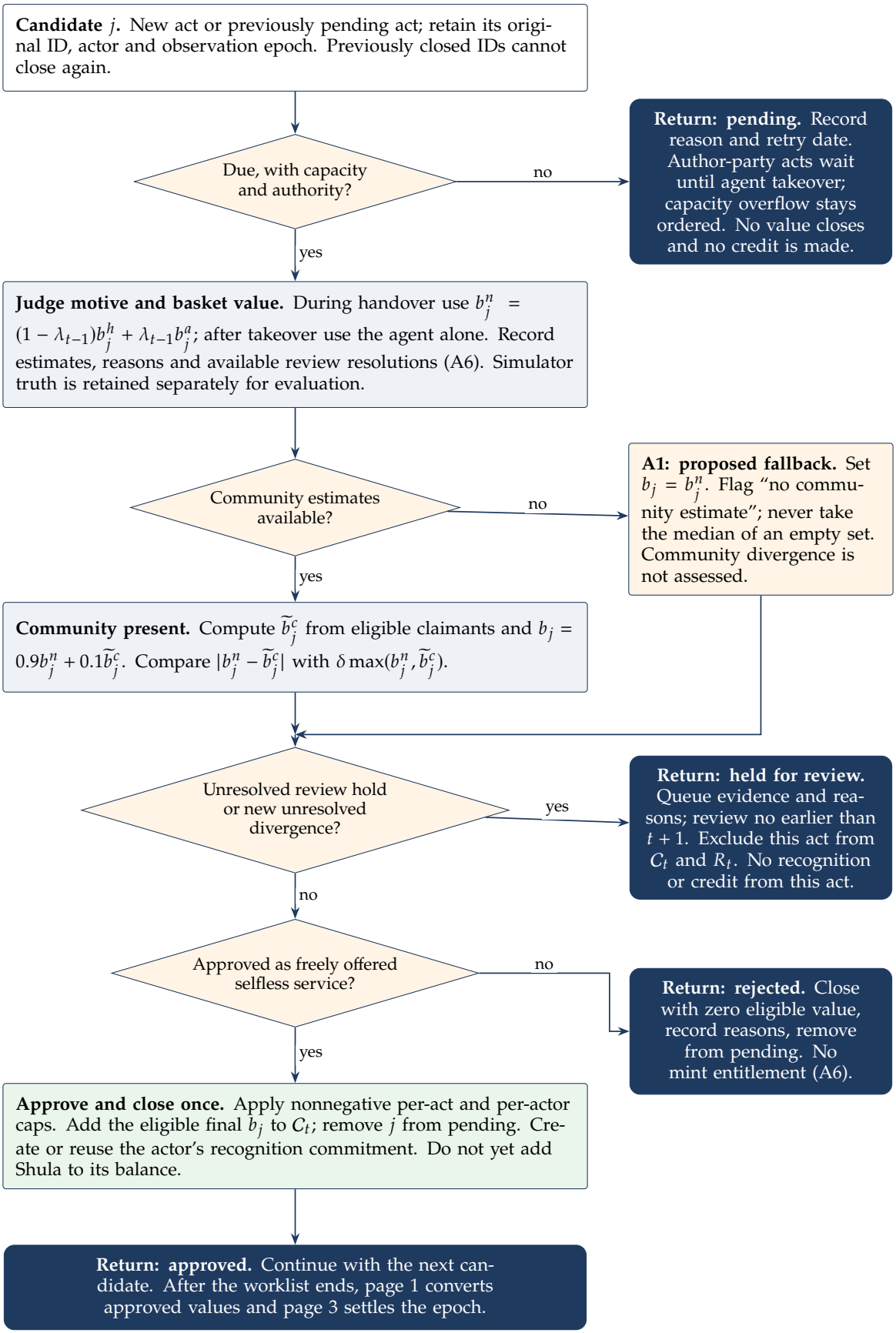
1. Epoch lifecycle. Pages 2 and 3 expand judgment and settlement.



A1–A6 are proposed policies. Their definitions and unresolved model choices are in `simulation_flowchart_correction_notes.md`.

Judgment and deferred review

2. One act at a time. Every return continues with the next ID in the frozen worklist.



Review is an explicit outcome (A6). A later review can revise estimates, approve with a reasoned resolution, reject, or continue the hold. Missing community estimates do not clear an existing review hold. Own-party recusal is not cleared merely by waiting one epoch.

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Issuance, balances and equation audit

3. Close-to-close accounting. M_{t-1} opens this epoch; M_t is the new close.

Inputs. Previous $M_{t-1}, V_{t-1}, W_{t-1}$; current observed/fallback $V_t > 0$, $W_t = p_t^* O_t$, and $R_t = \sum v_j$. Claims and exchange have preserved supply. Set $\Delta V_t = V_t - V_{t-1}$ and $\Delta W_t = W_t - W_{t-1}$.

Unconstrained issuance request. $x_t = \dfrac{R_t + \Delta W_t - M_{t-1}\Delta V_t}{V_t}$.

This is the original product-difference algebra with consistent epoch labels: $V_t = V_{t-1} + \Delta V_t$. At genesis, $x_t = (R_t + \Delta W_t)/V_{\min}$.

First issuance still pending?

yes

Yes: genesis exception.

$\widehat{\Delta M}_t = \min(G, \max(0, x_t))$.

Use the separately declared positive cap G, not $\kappa \cdot 0$. The genesis flag clears only after an actual positive first mint.

no

No: ordinary bounds.

$\widehat{\Delta M}_t = \mathrm{clip}(x_t, -\kappa M_{t-1}, \kappa M_{t-1})$.

With $0 < \kappa < 1$, a withdrawal cannot exceed the available supply.

A3: no eligible service, no positive mint. If $\widehat{\Delta M}_t > 0$ but $R_t = 0$, set $\Delta M_t = 0$ and record the suppressed request. Otherwise $\Delta M_t = \widehat{\Delta M}_t$. Never divide by zero or assign a mint to actors with no eligible service.

Settle once, by sign.

$\Delta M_t > 0$: mint $m_j = \Delta M_t \, v_j / R_t$ to actors' unclaimed balances U_i; aggregate multiple acts per actor. Newly minted Shula is claimable from the next epoch (A2).

$\Delta M_t < 0$: set $d_t = -\Delta M_t / M_{t-1}$ and multiply *both* U_i and claimed balances C_i by $1 - d_t$.

$\Delta M_t = 0$: no mint or demurrage. Claims have only moved $U_i \to C_i$.

Reconcile and audit. Set $M_t = M_{t-1} + \Delta M_t$ and verify $M_t = \sum_i (U_i + C_i)$, nonnegative balances, and unique closed IDs. Record

$e_t = M_t V_t - M_{t-1} V_{t-1} - \Delta W_t - R_t = V_t(\Delta M_t - x_t)$.

An unconstrained request has zero residual. Caps or the no-service guard can make $e_t \neq 0$; report it explicitly. A ledger mismatch invalidates the run.

Commit the close. Persist M_t, V_t, P_t, O_t, W_t, updated balances, claims, each settlement, the genesis flag and pending acts. Calculate unclaimed share as $\sum_i U_i / M_t$ when $M_t > 0$; otherwise report it as undefined.

Return to page 1: index, handover and epoch report

The cap does not preserve exact equality. The residual is an audit measurement, not an automatic debt or permission for later minting. The equation alone does not establish price stability or validate the simulated market.

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